

Insig AI Financial and Operational Analysis Report

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Executive Summary

This report presents a comprehensive analysis of **Insig AI**'s current financial and operational status based on the latest data and auditor insights. The company is experiencing significant distress characterized by operating losses, liquidity challenges, and valuation inconsistencies. This document outlines the critical findings, their relevance to the company's viability, and concludes with strategic considerations for stakeholders.

Key Findings and Insights

- **Financial Position**
 - Insig AI is in a financially distressed state with significant operating losses and negative margins.
 - Operating margin stands at **-567.3%** and net margin at **-4307.7%**, reflecting substantial losses and impairments (£15.3m in 2024).
 - The company reports a **100% gross margin**, likely due to no cost of sales recorded, which distorts profitability metrics.
- **Valuation Metrics**
 - EV/EBIT is **0.0x** due to negative EBIT, indicating no earnings support.
 - EV/Revenue is extremely high at **42.0x**, suggesting an inflated valuation unsupported by earnings or cash flow.
- **Liquidity and Solvency**
 - Liquidity ratios are critically low: current and quick ratios at **0.1%**, signaling severe liquidity risk.
 - Debt-to-equity ratio is moderate at **1.0**, but interest coverage is negative at **-16.6x**, showing inability to meet interest expenses.
- **Efficiency and Asset Quality**
 - Inventory turnover is zero, but receivables collection is healthy at **38 days**.
 - No goodwill recorded (positive), but tangible book value is negative **£2.8m**, indicating net liabilities in tangible assets.

- **Cash Flow and Earnings Quality**

- EBITDA to free cash flow conversion is zero, confirming no cash generation from earnings.
- Free cash flow is negative at **£-1.3m**, confirming ongoing cash burn.

- **Revenue Trends**

- Revenue is low and declining: **£370k in 2024** versus **£694k in 2023**.
- Revenue recognition follows milestone basis consistent with IFRS 15.

- **Governance and Ownership**

- Auditor's report highlights a material uncertainty on going concern due to funding shortfalls and cash burn.
- Ownership is moderately concentrated; largest shareholder and director Richard Bernstein holds **18.6% plus options**, indicating alignment with shareholders.
- Recent resignations of two directors and the death of another may impact governance stability.

Relevance of Findings

- These findings are critical as they highlight the company's **current financial distress and operational challenges**, which directly affect its valuation, liquidity, and sustainability.
- The **inflated valuation multiples** relative to earnings and cash flow suggest market expectations are not supported by fundamentals.
- Severe liquidity risk and negative interest coverage indicate **financial strain and potential difficulty in meeting obligations**.
- Negative returns on equity and capital employed confirm **value destruction for shareholders**.
- The negative tangible book value raises concerns about the **asset backing** of the company.
- The going concern uncertainty underscores the **risk of funding shortfalls**.
- Ownership concentration with committed insiders provides some **governance stability**, but recent board changes may affect strategic execution.
- Overall, these factors are essential for assessing the company's **viability, risk profile, and potential for value creation or destruction**.

Conclusions

Insig AI faces significant financial and operational challenges, including large losses, poor liquidity, negative cash flows, and an inflated valuation not supported by earnings or cash generation.

The company's balance sheet shows a large accumulated deficit and moderate leverage, with a material uncertainty on going concern due to funding risks.

While committed insider ownership may support governance, recent director resignations could impact stability.

The company must address its liquidity and profitability issues to return to sustainable operations.

The current financial profile indicates value destruction and elevated risk, necessitating close monitoring of operational improvements, cash flow generation, and successful fundraising.

Further detailed information on management's turnaround plans and future projections would be required to refine the investment thesis and assess potential for recovery or value unlocking.

Analyst's Signature

Richard Bernstein

Chief Executive Officer, Insig AI Plc

Founder & Investment Manager, Crystal Amber Fund

Signed off on 4 September 2025, 12:44:15
